

# If Greece Has Recovered, Why Do So Many Households Still Struggle?

Official income poverty affects roughly one person in five. Yet about two households in three report difficulty making ends meet. The distance between them reveals a moving poverty line, an uneven recovery and the continuing weight of unemployment, wages and housing.

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**1 in 5**

19.6%

**People** at risk of  
poverty — the official  
measure

**2 in 3**

66.7%

**Households** struggling  
to make ends meet

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## The Poverty Rate Says One Thing. Households Say Another.

Looking at the labour market and some headline economic indicators, Greece appears to have recovered in part. Unemployment has fallen sharply. Output has grown for most of the last decade. The bailout years are no longer the first fact most economic summaries reach for.

But the closer we move to households, the less complete that recovery looks.

By the official income-poverty measure, Greece is in difficulty, but not exceptional. By what households report, it is almost in a category of its own. That is the paradox this piece unfolds: income poverty and reported hardship are telling two different stories, and the poverty rate becomes misleading when it is read alone, without context.

Two measures carry this whole piece. Income poverty, officially at-risk-of-poverty or AROP, is an income test: a household counts as poor if its income sits below 60% of its country's median, recalculated every year. Reported hardship is different and more direct: in an EU-wide survey, households are asked whether they can make ends meet, and those who say they manage only “with difficulty” or “with great difficulty” count as struggling.

**FIGURE 1 Greece Is Far Above the Poverty-Hardship Line**

Does official income poverty account for the hardship Greek households report?

▼ **Methods and limits**

**Read with this.** Descriptive comparison of two official measures. Reported hardship is answered by HOUSEHOLDS and income poverty counts PEOPLE, so the axis is labelled percent rather than either. In the second view the fitted line excludes Greece, describing the European pattern Greece is being judged against rather than one Greece helped set. The labelled point marks the median country on each measure taken SEPARATELY, so it is a reference point rather than an actual country: no member state necessarily sits there. Both views are country-level and say nothing about any individual household.

| Series                       | How Greece's hardship gap developed |      |      |      |      |      |      |      |      |      |
|------------------------------|-------------------------------------|------|------|------|------|------|------|------|------|------|
|                              | 2015                                | 2016 | 2017 | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 |
| Greece: reported hardship    | 77.7                                | 76.8 | 77.2 | 74.1 | 71.0 | 69.8 | 71.0 | 68.4 | 67.0 | 66.7 |
| EU median: reported hardship | 28.9                                | 25.9 | 22.6 | 20.5 | 18.5 | 16.8 | 15.4 | 17.9 | 16.6 | 17.1 |
| Greece: income poverty       | 21.4                                | 21.2 | 20.2 | 18.5 | 17.9 | 17.7 | 19.6 | 18.8 | 18.9 | 19.6 |
| EU median: income poverty    | 16.3                                | 16.5 | 15.9 | 16.4 | 15.4 | 16.1 | 15.7 | 15.6 | 15.4 | 15.5 |

| Series      | Where countries stood in 2024 |                       |
|-------------|-------------------------------|-----------------------|
|             | Income poverty (%)            | Reported hardship (%) |
| Czechia     | 9.5                           | 14.2                  |
| Belgium     | 11.4                          | 17.1                  |
| Denmark     | 11.6                          | 12.8                  |
| Netherlands | 12.1                          | 7.3                   |
| Finland     | 12.6                          | 8.9                   |
| Ireland     | 12.7                          | 16.9                  |
| Slovenia    | 13.2                          | 13.6                  |
| Poland      | 13.8                          | 11.5                  |
| Austria     | 14.3                          | 13.1                  |
| Hungary     | 14.3                          | 19.8                  |
| Slovakia    | 14.5                          | 28.7                  |
| Cyprus      | 14.6                          | 20.8                  |
| Sweden      | 14.8                          | 9.9                   |
| Germany     | 15.5                          | 7.3                   |
| France      | 15.9                          | 21.8                  |
| Portugal    | 16.6                          | 21.8                  |
| Malta       | 16.9                          | 17.3                  |
| Luxembourg  | 18.1                          | 8.5                   |
| Italy       | 18.9                          | 18.7                  |
| Romania     | 19.0                          | 23.8                  |
| Greece      | 19.6                          | 66.7                  |
| Spain       | 19.7                          | 21.9                  |
| Estonia     | 20.2                          | 9.9                   |
| Croatia     | 20.3                          | 19.8                  |
| Lithuania   | 21.5                          | 11.4                  |
| Latvia      | 21.6                          | 23.3                  |
| Bulgaria    | 21.7                          | 37.4                  |

[Figure 1's first tab](#), “How Greece's hardship gap developed”, puts those two measures side by side and shows why the paradox holds. Since 2015, Greece's reported hardship has never dropped below two-thirds of households: it opens near 78% and eases only gradually. Its income-poverty rate spends the same decade hovering near a fifth, barely moving at all. Both EU medians sit far beneath Greece's line for reported hardship, the whole way through. (The EU median is the middle EU country on that measure, not an EU-wide average.) This isn't a single bad year showing up once. It's been the shape of an entire decade.

Switch to the [second tab](#), “Where countries stood in 2024”, and the gap turns from a Greek pattern into a European outlier. Each grey dot is an EU country. The horizontal axis is income poverty; the vertical is reported hardship. The dotted line is the relationship the other twenty-six countries actually follow. Greece is the blue point far above it. At Greece's income-poverty rate, that relationship predicts about 20% of households struggling to make ends meet. Greece reports about 67%. The 47-percentage-point distance between those two numbers is the gap this piece tries to understand.

Greek subjective hardship runs 52.6 points above relative income poverty on average, and Greece ranks first of 27 on hardship while ranking seventh on AROP.

The chart starts in 2015 because that's where Greece's own hardship gap is clearest, not because Eurostat's data is that young. The indicator can be reconstructed back past 2010 too, and this project checked that reconstruction against the official series everywhere the two overlap, but nothing later in this piece relies on it.

The outcome is Eurostat's official subjective-hardship indicator, extended backwards before 2010 using a constructed series validated against it on 432 overlapping country-years.

*The limits of this.* pre-2010 provenance is ours, not Eurostat's.

The two numbers are not rival opinions. They come from the same European system, from surveys of the same households, but they ask different kinds of questions: one about income relative to everyone else, one about a household's own sense of its budget. In most of Europe, those two answers move together. In Greece, they have stayed far apart, year after year.

But once a gap like that appears, the two numbers are not usually read with equal trust. Income poverty feels firmer: a number built from income, thresholds and ranks. Reported hardship feels softer: not necessarily a fact about a household's circumstances, but the way that household describes itself. Is that fair? Or is the hardship signal telling us something material that income poverty alone cannot see?

## This Was Not Just a Feeling

If Greek households are simply answering a subjective question more darkly than everyone else, then this is a story about how people talk about their lives, not about poverty. Everything the rest of this piece does next would be measuring an echo, not an economy. That has to be settled first, and settled seriously, not waved off as an obvious no.

The test isn't whether a household *feels* like it's struggling. It's whether that feeling moves together with things that name actual events, not moods: falling behind on bills, being unable to cover a surprise expense, being unable to heat the home properly, going without several ordinary things at once. A vague question can be coloured by a bad mood. Four specific, concrete facts agreeing with it at once is a much harder thing for mood alone to produce.

## FIGURE 2 Hardship Moves With Concrete Financial Strain

Did concrete affordability difficulties rise and fall with what Greek households reported?

### ▼ Methods and limits

**Read with this.** Same-survey corroboration, not independent validation or causal evidence. Greek correlations with reported hardship: unexpected expenses 0.92 · material deprivation 0.94 · keeping the home warm 0.87 · falling behind on bills 0.37. Every line is a distance from its own 2015–2024 average, including the European median, so three series on different scales can share one axis: the shapes may be compared, the levels may not. The scale is the same in all four tabs. European median hardship is deliberately absent, since the question here is whether the concrete difficulty moved with Greek reports, not how Greece compares.

| Unexpected expenses                |      |      |      |      |      |      |      |      |      |      |
|------------------------------------|------|------|------|------|------|------|------|------|------|------|
| Year                               | 2015 | 2016 | 2017 | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 |
| Greece: reported hardship          | 5.7  | 4.8  | 5.2  | 2.1  | -1.0 | -2.2 | -1.0 | -3.6 | -5.0 | -5.3 |
| Greece: unexpected expenses        | 4.7  | 4.9  | 4.0  | 1.7  | -0.9 | 2.0  | -2.4 | -5.1 | -4.4 | -4.8 |
| EU median: unexpected expenses     | 7.5  | 5.6  | 2.5  | -0.2 | -0.9 | -1.8 | -4.7 | -1.1 | -2.9 | -3.6 |
| Material deprivation               |      |      |      |      |      |      |      |      |      |      |
| Year                               | 2015 | 2016 | 2017 | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 |
| Greece: reported hardship          | 5.7  | 4.8  | 5.2  | 2.1  | -1.0 | -2.2 | -1.0 | -3.6 | -5.0 | -5.3 |
| Greece: material deprivation       | 2.0  | 2.8  | 2.7  | 0.5  | 0.2  | -0.7 | -1.7 | -1.7 | -2.1 | -1.6 |
| EU median: material deprivation    | 2.3  | 1.2  | 0.8  | -0.1 | -0.5 | -1.0 | -0.7 | -0.6 | -0.6 | -1.2 |
| Keeping the home warm              |      |      |      |      |      |      |      |      |      |      |
| Year                               | 2015 | 2016 | 2017 | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 |
| Greece: reported hardship          | 5.7  | 4.8  | 5.2  | 2.1  | -1.0 | -2.2 | -1.0 | -3.6 | -5.0 | -5.3 |
| Greece: keeping the home warm      | 7.6  | 7.5  | 4.1  | 1.1  | -3.7 | -4.5 | -4.1 | -2.9 | -2.4 | -2.6 |
| EU median: keeping the home warm   | 1.5  | -0.1 | -0.2 | -0.9 | -0.6 | -0.3 | -1.1 | 0.8  | 1.1  | -0.0 |
| Falling behind on bills            |      |      |      |      |      |      |      |      |      |      |
| Year                               | 2015 | 2016 | 2017 | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 |
| Greece: reported hardship          | 5.7  | 4.8  | 5.2  | 2.1  | -1.0 | -2.2 | -1.0 | -3.6 | -5.0 | -5.3 |
| Greece: falling behind on bills    | 5.8  | 4.4  | 1.4  | -0.5 | -2.1 | -6.6 | -7.1 | 2.0  | 3.8  | -0.7 |
| EU median: falling behind on bills | 1.9  | 2.2  | 0.3  | 0.9  | -0.1 | -1.3 | -1.2 | -1.5 | -0.5 | -0.9 |

**Figure 2:** three of the four tabs tell the same story, each as a correlation, where close to 1 means two measures rise and fall together and close to 0 means they move independently. In Greece's own year-by-year data, reported hardship tracks an inability to cover a surprise expense almost exactly ([Unexpected expenses](#)) at 0.92. It tracks going without several ordinary things at once even more closely ([Material deprivation](#)), at 0.94. It tracks struggling to keep the home warm at 0.87 ([Keeping](#)

[the home warm](#)). When one line moves, the others move with it, year after year. And this isn't a Greek peculiarity. Pooled across all twenty-seven EU countries, comparing each country with itself over time rather than just rich countries with poor ones, the same relationships hold, at 0.63 to 0.80.

Reported difficulty co-moves with arrears, inability to meet an unexpected expense, inadequate heating and severe deprivation at within-country correlations of 0.63 to 0.80.

*The limits of this.* same-instrument corroboration, NOT independent validation; all items and the outcome come from EU-SILC; not uniform: arrears within Greece is 0.371.

The fourth tab ([Falling behind on bills](#)) tells a different story, and it's worth sitting with why. Falling behind on bills, the one item that sounds like the hardest, most factual anchor of the four, tracks reported hardship at only 0.37, by far the weakest of the set. Falling behind requires having had credit and obligations to fall behind on in the first place. A household that lost access to credit years ago, or never had any to lose, can be in real difficulty without that difficulty ever showing up as an unpaid bill. The weakest link in the evidence turns out to have an ordinary explanation, not a suspicious one.

None of this is independent proof, and that has to be said plainly rather than buried. Every one of these items comes from the same interview as the question about making ends meet: the same household, the same sitting. A household in a genuinely grim mood could rate the whole set grimly, and that alone would produce numbers like these. What's been shown is that reported hardship is coherent with concrete circumstances. It hasn't been shown, and can't be shown this way, that it's confirmed by something entirely outside the survey.

There is a second, different kind of check, and it does not depend on the same hardship questions. If this one number were an isolated fluke, one instrument twitching on its own, it should stand apart from everything else describing Greek life. It doesn't.

### FIGURE 3 The Problem Spread Across the Dashboard

Did Greek disadvantage deepen on a few measures, or spread across many?

#### ▼ Methods and limits

**Read with this.** Descriptive summary of the condition, not a predictor of it. DESCRIPTIVE ONLY. Breadth was tested as a predictor of reported hardship in P3a and does not survive: on its own it is not significant ( $p = 0.12$ ), and once the other accumulated measures enter the model its coefficient reverses sign. It summarises the condition rather than explaining it. THE BASKET IS FIXED: these are the 16 indicators with a valid EU position in both 2008

and 2024, chosen without reference to whether they improved or deteriorated, so the same things are counted at both ends and in every year between. Unemployment, youth unemployment and the employment rate are absent because comparable EU coverage for them begins in 2009; hours worked, pay per hour, the work-effort squeeze and real wages are all present, so this is not a basket without labour-market information. The outcome and every model covariate are excluded. THE EU-COUNTRY MEDIAN is the median of the 27 member states' own shares on this basket -- a median across countries, not Eurostat's population-weighted EU aggregate -- named accordingly rather than simply 'EU'. Croatia never reaches full 16-indicator coverage in any basket year and does not appear as a line for that reason. The 'Which measures' view's axis is POSITION, not value: the indicators have no common unit, so 0 is the best place in the Union to be on that indicator and 100 the worst, whichever direction 'worse' runs in.

Of 16 indicators, **4 were already in the EU's worst fifth in 2008, 7 entered it by 2024, and none left.**

|                                          |               | Which measures |      |      |      |      |               |      |      |      |      |      |                     |      |      |      |      |  |
|------------------------------------------|---------------|----------------|------|------|------|------|---------------|------|------|------|------|------|---------------------|------|------|------|------|--|
| Series                                   | 2008 position |                |      |      |      |      | 2024 position |      |      |      |      |      | Transition          |      |      |      |      |  |
| Hours worked against hourly pay          | 59.3          |                |      |      |      |      | 100.0         |      |      |      |      |      | entered worst fifth |      |      |      |      |  |
| Prices measured against wages            | 48.1          |                |      |      |      |      | 100.0         |      |      |      |      |      | entered worst fifth |      |      |      |      |  |
| Pay per hour worked                      | 55.6          |                |      |      |      |      | 100.0         |      |      |      |      |      | entered worst fifth |      |      |      |      |  |
| Household income after inflation         | 51.9          |                |      |      |      |      | 100.0         |      |      |      |      |      | entered worst fifth |      |      |      |      |  |
| Wages after inflation                    | 51.9          |                |      |      |      |      | 100.0         |      |      |      |      |      | entered worst fifth |      |      |      |      |  |
| The poverty line after inflation         | 51.9          |                |      |      |      |      | 100.0         |      |      |      |      |      | entered worst fifth |      |      |      |      |  |
| Keeping the home warm                    | 73.1          |                |      |      |      |      | 98.1          |      |      |      |      |      | entered worst fifth |      |      |      |      |  |
| Hours worked each week                   | 94.4          |                |      |      |      |      | 100.0         |      |      |      |      |      | already worst fifth |      |      |      |      |  |
| What households expect of the year ahead | 100.0         |                |      |      |      |      | 100.0         |      |      |      |      |      | already worst fifth |      |      |      |      |  |
| Citizens leaving the country             | 86.4          |                |      |      |      |      | 96.2          |      |      |      |      |      | already worst fifth |      |      |      |      |  |
| Income inequality                        | 80.8          |                |      |      |      |      | 81.5          |      |      |      |      |      | already worst fifth |      |      |      |      |  |
| Food prices                              | 14.8          |                |      |      |      |      | 77.8          |      |      |      |      |      | outside both years  |      |      |      |      |  |
| Economic output per person               | 55.6          |                |      |      |      |      | 77.8          |      |      |      |      |      | outside both years  |      |      |      |      |  |
| Prices overall                           | 53.7          |                |      |      |      |      | 70.4          |      |      |      |      |      | outside both years  |      |      |      |      |  |
| Housing and energy prices                | 63.0          |                |      |      |      |      | 59.3          |      |      |      |      |      | outside both years  |      |      |      |      |  |
| What households actually spend           | 48.1          |                |      |      |      |      | 48.1          |      |      |      |      |      | outside both years  |      |      |      |      |  |
| How many measures                        |               |                |      |      |      |      |               |      |      |      |      |      |                     |      |      |      |      |  |
| Series                                   | 2008          | 2009           | 2010 | 2011 | 2012 | 2013 | 2014          | 2015 | 2016 | 2017 | 2018 | 2019 | 2020                | 2021 | 2022 | 2023 | 2024 |  |
| Greece                                   | 25.0          | 18.8           | 43.8 | 50.0 | 50.0 | 50.0 | 43.8          | 50.0 | 50.0 | 62.5 | 56.2 | 56.2 | 56.2                | 56.2 | 56.2 | 62.5 | 68.8 |  |
| EU-country median                        | 6.2           | 12.5           | 9.4  | 12.5 | 18.8 | 18.8 | 15.6          | 12.5 | 18.8 | 18.8 | 12.5 | 12.5 | 18.8                | 12.5 | 12.5 | 18.8 | 12.5 |  |

Take sixteen separate measures of Greek life (see [Figure 3](#)): wages, hours worked, prices, keeping the home warm, what households expect of the coming year, income inequality. They were filtered

from a wider set of economic and social indicators to only those with a valid reading in both 2008 and 2024, so the count couldn't grow just because more things got measured later, and selected without regard to whether each one improved or worsened, so there was no room to cherry-pick which sixteen made the basket. The first tab ([Which measures](#)) lays out where Greece sat on each one, in each year, and whether it crossed into the EU's worst fifth, the bottom 20% of member states on that measure, or was already there. The point isn't that every one of them moved identically. It's that disadvantage spread across the dashboard, not just in one place.

Switch to the second tab ([How many measures](#)) and that spread turns into a single line. Before the crisis, Greece sat in the worst fifth of the EU on four of the sixteen, a quarter. Now it sits there on eleven, two thirds of the whole set. Plotted alongside it, the EU-country median barely moves over the same seventeen years. This isn't a general European drift. Most of these measures don't come from the same interview as the hardship question, either.

The list is not hand-picked. It includes every indicator in the project with a valid EU position in both 2008 and 2024, selected before looking at whether Greece improved or worsened. That is why some obvious labour-market measures are absent here: their comparable EU series begin in 2009, one year too late for the fixed 2008 basket. [The appendix shows](#) the fixed basket and the wider candidate set.

One more thing is worth mentioning here, carefully. Put the closest hardship items into the same statistical picture as the official poverty rate, and much of Greece's excess stops standing apart. That matters. But it also carries the same-survey problem all over again, in a sharper form. And it returns later in this piece, because it turns out to be exactly the point where the explanation looks strongest and least independent.

Those same four items statistically absorb 71% of Greece's baseline residual (+46.92 to +13.74).

*The limits of this.* ABSORPTION, never explanation; shared instrument is not shared cause; diagnostic only; never a headline explanation.

So the hardship signal is too materially connected to dismiss as mood. It is also too close to the same survey instrument to call independently proven. Both of those are true at once, and the honest version of this section holds them together rather than picking one. What it does settle is enough to move forward on: if the difficulty is real, why doesn't the official poverty rate register it?



# The Ruler Moved With the Fall

One answer starts with the ruler itself: the official poverty line isn't fixed. It moves with the very economy it is supposed to be measuring.

The EU's headline poverty measure, at-risk-of-poverty, is not an income level. It is a percentage: 60% of whatever the national median income happens to be, *that year*. In an ordinary economy, where incomes drift up slowly and roughly together, that is a reasonable way to define being poor relative to your neighbours.

Greece's economy, from 2010, was not ordinary. Incomes fell together, hard and fast, and when the median falls, the poverty line falls with it. A household earning exactly what it earned five years earlier could find itself reclassified from poor to not poor, not because anything in its life had improved, but because the ruler measuring it had shrunk to match the collapse around it.

**FIGURE 4 The Poverty Line Looked Stable. Its Value Did Not.**

What happened to the line Greek poverty is measured against, and what does a fixed line show instead?

▼ **Methods and limits**

**Read with this.** The anchored series is an approximation built in this project and is labelled as such wherever it appears. The first view counts PEOPLE, the second counts EUROS. In the second, both lines are the same official threshold: one as published in each year's own money, the other converted into what it could buy in 2008. The cash line recovers and the purchasing-power line does not, and that difference is why the first view's two counts diverge. Both views are Greece only and support no cross-country statement.

| Who falls below a fixed line            |      |      |      |      |      |      |      |      |      |      |      |      |      |      |      |      |      |      |      |      |      |      |      |
|-----------------------------------------|------|------|------|------|------|------|------|------|------|------|------|------|------|------|------|------|------|------|------|------|------|------|------|
| Series                                  | 2003 | 2004 | 2005 | 2006 | 2007 | 2008 | 2009 | 2010 | 2011 | 2012 | 2013 | 2014 | 2015 | 2016 | 2017 | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 |      |
| Greece: fixed 2008 threshold            | 25.6 | 22.8 | 20.7 | 21.5 | 21.2 | 19.7 | 17.0 | 18.0 | 24.6 | 33.3 | 39.7 | 40.6 | 39.8 | 39.8 | 38.3 | 37.3 | 34.6 | 30.8 | 32.7 | 33.6 | 32.0 | 30.1 |      |
| Greece: current-year threshold          | 20.7 | 19.9 | 19.6 | 20.5 | 20.3 | 20.1 | 19.7 | 20.1 | 21.4 | 23.1 | 23.1 | 22.1 | 21.4 | 21.2 | 20.2 | 18.5 | 17.9 | 17.7 | 19.6 | 18.8 | 18.9 | 19.6 |      |
| What the line itself is worth           |      |      |      |      |      |      |      |      |      |      |      |      |      |      |      |      |      |      |      |      |      |      |      |
| Series                                  | 2003 | 2004 | 2005 | 2006 | 2007 | 2008 | 2009 | 2010 | 2011 | 2012 | 2013 | 2014 | 2015 | 2016 | 2017 | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | 2025 |
| Threshold in cash terms                 | 4923 | 5306 | 5650 | 5910 | 6120 | 6480 | 6897 | 7178 | 6591 | 5708 | 5023 | 4608 | 4512 | 4500 | 4560 | 4718 | 4917 | 5269 | 5251 | 5712 | 6030 | 6510 | 7020 |
| Same threshold in 2008 purchasing power | 5819 | 6089 | 6264 | 6343 | 6377 | 6480 | 6808 | 6768 | 6027 | 5168 | 4589 | 4270 | 4228 | 4216 | 4226 | 4338 | 4498 | 4884 | 4838 | 4815 | 4878 | 5113 | 5358 |

Figure 4's first tab ([Who falls below a fixed line](#)) makes the moving-ruler problem visible: the official poverty rate barely moves because the line is allowed to fall with the national median. Hold the 2008 line fixed in real terms instead, and measured poverty roughly doubles, peaking above 40% in 2014. The second tab ([What the line itself is worth](#)) shows the mechanism more plainly still: the threshold may look stable in cash terms, but what it can actually buy collapsed, and has only partly recovered.

## DESCRIPTIVE CORROBORATION

### ANCHORED POVERTY, CORROBORATED BY INDEPENDENT MICRODATA

Independent microdata points the same way. A separate study, using Greek household microdata, estimates that 48% of the population was poor under a poverty line anchored before the crisis, for the same income year this project's own reconstruction puts at 40.6%.

*What this lets us say.* Independent microdata evidence points in the same direction: a fixed pre-crisis poverty line shows much larger crisis-era poverty than contemporaneous AROP.

*What it does not.* Treating 48% against 40.6% as a direct validation test, a bias estimate, or proof that this project's reconstruction is too low by seven to eight points -- the two differ in data, anchor year, price adjustment and vintage.

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Andriopoulou, E., Kanavitsa, E. & Tsakloglou, P. (2020), Decomposing Poverty in Hard Times: Greece 2007-2016. LSE GreeSE Paper No. 149. [source](#)

That doesn't make the fixed line the “correct” one, and it says nothing about how Greece compares to any other country. This is Greece against its own past, not against Europe. It asks a different question: the official rate measures who is far below the middle of *today's* Greece; the fixed line asks how many people are below a pre-crisis standard. When a whole country falls together, those two questions split apart.

Europe's broader measure, AROPE (at risk of poverty or social exclusion), tries to widen the lens. It adds deprivation and low work intensity to income poverty, so it should close the gap if the problem is only that income poverty is too narrow. It does close some of it: 9.8 of the 52.6 points, under a fifth. But it leaves most of the distance untouched, and its contribution shrinks over the decade.

Switching to AROPE closes 9.8 of those 52.6 points (19%), leaving 42.8 unexplained, and its contribution shrinks from 11.0 points in 2015 to 7.3 in 2024.

## FIGURE 5 Where AROPE Sits, What It's Made Of, and Who Carries It

Where does AROPE sit against income poverty and reported hardship, what is AROPE made of, and did every age and sex group move the same way?

### ▼ Methods and limits

**Read with this.** These are changes in group-level rates, not evidence about the same individuals over time. The 2024-2025 national increase was driven primarily by within-group changes, especially deterioration among people aged 65+, rather than population ageing. AROPE components are a UNION and may not be summed. Very low work intensity is part of AROPE, but the project does not hold a comparable national-total series for the Components view; its available age coverage uses a different population base, and aggregate component rates cannot reconstruct the AROPE union in any case. In all four views colour marks the measure or group and dash marks the country, so each Greek line is paired with the EU median for the same thing in the same colour. The per-component views with every other member state drawn behind are in the statistical appendix.

| Headline measures               |      |      |      |      |      |      |      |      |      |      |
|---------------------------------|------|------|------|------|------|------|------|------|------|------|
| Series                          | 2015 | 2016 | 2017 | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 |
| Income poverty: Greece          | 21.4 | 21.2 | 20.2 | 18.5 | 17.9 | 17.7 | 19.6 | 18.8 | 18.9 | 19.6 |
| Income poverty: EU median       | 16.3 | 16.5 | 15.9 | 16.4 | 15.4 | 16.1 | 15.7 | 15.6 | 15.4 | 15.5 |
| AROPE: Greece                   | 32.4 | 32.6 | 32.2 | 30.3 | 29.0 | 27.4 | 28.3 | 26.3 | 26.1 | 26.9 |
| AROPE: EU median                | 22.5 | 22.2 | 21.4 | 20.1 | 20.1 | 19.9 | 19.6 | 19.6 | 19.8 | 19.6 |
| Reported hardship: Greece       | 77.7 | 76.8 | 77.2 | 74.1 | 71.0 | 69.8 | 71.0 | 68.4 | 67.0 | 66.7 |
| Reported hardship: EU median    | 28.9 | 25.9 | 22.6 | 20.5 | 18.5 | 16.8 | 15.4 | 17.9 | 16.6 | 17.1 |
| Components                      |      |      |      |      |      |      |      |      |      |      |
| Series                          | 2015 | 2016 | 2017 | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 |
| Income poverty: Greece          | 21.4 | 21.2 | 20.2 | 18.5 | 17.9 | 17.7 | 19.6 | 18.8 | 18.9 | 19.6 |
| Income poverty: EU median       | 16.3 | 16.5 | 15.9 | 16.4 | 15.4 | 16.1 | 15.7 | 15.6 | 15.4 | 15.5 |
| Material deprivation: Greece    | 17.6 | 18.4 | 18.3 | 16.1 | 15.8 | 14.9 | 13.9 | 13.9 | 13.5 | 14.0 |
| Material deprivation: EU median | 7.8  | 6.7  | 6.3  | 5.4  | 5.0  | 4.5  | 4.8  | 4.9  | 4.9  | 4.3  |
| AROPE: Greece                   | 32.4 | 32.6 | 32.2 | 30.3 | 29.0 | 27.4 | 28.3 | 26.3 | 26.1 | 26.9 |
| AROPE: EU median                | 22.5 | 22.2 | 21.4 | 20.1 | 20.1 | 19.9 | 19.6 | 19.6 | 19.8 | 19.6 |

| By age          |      |      |      |      |      |      |      |      |      |      |      |
|-----------------|------|------|------|------|------|------|------|------|------|------|------|
| Series          | 2015 | 2016 | 2017 | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | 2025 |
| All ages        | 32.4 | 32.6 | 32.2 | 30.3 | 29.0 | 27.4 | 28.3 | 26.3 | 26.1 | 26.9 | 27.5 |
| Under 18        | 37.7 | 37.2 | 36.5 | 34.1 | 31.2 | 30.8 | 32.0 | 28.1 | 28.1 | 27.9 | 29.6 |
| 18-24           | 43.6 | 44.6 | 42.1 | 39.0 | 37.5 | 35.0 | 37.5 | 33.4 | 33.1 | 34.5 | 33.2 |
| 25-49           | 35.0 | 36.1 | 35.2 | 31.9 | 30.1 | 28.3 | 29.3 | 26.9 | 24.9 | 25.4 | 25.1 |
| 50-64           | 34.8 | 35.3 | 34.9 | 33.4 | 31.9 | 29.2 | 30.5 | 27.6 | 26.3 | 28.2 | 27.5 |
| 65 and over     | 17.5 | 16.6 | 18.4 | 19.2 | 20.5 | 19.4 | 19.3 | 21.0 | 23.9 | 24.9 | 27.7 |
| EU: all ages    | 24.0 | 23.7 | 22.4 | 21.7 | 21.1 | 21.5 | 21.7 | 21.6 | 21.3 | 21.0 | 20.9 |
| EU: under 18    | 27.4 | 27.1 | 25.1 | 23.9 | 22.8 | 24.1 | 24.5 | 24.8 | 24.9 | 24.2 | 24.3 |
| EU: 18-24       | 29.7 | 29.8 | 28.1 | 27.2 | 26.6 | 27.8 | 27.3 | 26.5 | 26.0 | 26.3 | 26.3 |
| EU: 25-49       | 23.3 | 22.8 | 21.3 | 20.3 | 19.3 | 19.6 | 20.2 | 20.0 | 19.6 | 19.2 | 19.1 |
| EU: 50-64       | 25.6 | 24.4 | 23.3 | 22.4 | 22.1 | 21.5 | 21.9 | 21.0 | 20.8 | 20.7 | 20.8 |
| EU: 65 and over | 18.0 | 18.5 | 18.5 | 19.1 | 19.3 | 20.0 | 19.5 | 20.1 | 19.7 | 19.2 | 18.8 |
| By sex          |      |      |      |      |      |      |      |      |      |      |      |
| Series          | 2015 | 2016 | 2017 | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 | 2025 |
| All             | 32.4 | 32.6 | 32.2 | 30.3 | 29.0 | 27.4 | 28.3 | 26.3 | 26.1 | 26.9 | 27.5 |
| Women           | 33.1 | 33.4 | 32.9 | 31.3 | 30.1 | 28.6 | 29.2 | 27.4 | 27.3 | 27.9 | 29.1 |
| Men             | 31.6 | 31.7 | 31.6 | 29.2 | 28.0 | 26.1 | 27.3 | 25.2 | 24.8 | 25.9 | 25.9 |
| EU: all         | 24.0 | 23.7 | 22.4 | 21.7 | 21.1 | 21.5 | 21.7 | 21.6 | 21.3 | 21.0 | 20.9 |
| EU: women       | 24.9 | 24.7 | 23.4 | 22.7 | 22.1 | 22.5 | 22.6 | 22.7 | 22.3 | 21.9 | 21.9 |
| EU: men         | 23.1 | 22.5 | 21.4 | 20.6 | 20.0 | 20.4 | 20.7 | 20.4 | 20.3 | 20.0 | 19.8 |

Figure 5 shows both sides of that result. The first tab ([Headline measures](#)) places income poverty, AROPE and reported hardship together: AROPE sits between them, but much closer to income poverty than to hardship. The other tabs show why one national number is still too smooth. Greece sits above the EU median on the two components with a comparable national series, income poverty and material deprivation; the third, very low work intensity, has no comparable national series and isn't shown. Older people move in the opposite direction from everyone younger; women remain above men throughout. The point isn't any one split on its own. It's that the national average compresses very different household positions into one line.

The official measures are not wrong. They are doing exactly what they were built to do. But they measure position, broadened risk and national averages. The household answering the hardship question is answering something narrower and more immediate: what daily life costs against its own budget. That is where the next part of the story has to go.

# **The Jobs Came Back. The Household Economy Did Not.**

The strongest case for Greece's recovery is the labour market. Unemployment fell from its crisis peak to under 9%, and long-term unemployment fell with it. That is real recovery. But a household does not live on the unemployment rate. It lives on the wage that arrives, the prices facing that wage, what it costs to keep a roof over its head, and what is left when the month runs out. On that test, Greece's recovery looks much less complete.

Start with the part that clearly improved: long-term unemployment, meaning worklessness lasting twelve months or more. It stood at 16.4% of the labour force in 2015. By 2024 it had fallen to 5.4%. That is substantial progress. It means fewer households spent years outside work, and fewer had to run through savings, sell what they could, or lean on relatives just to absorb the next shock.

But employment was the exception, not the full household story. Greek real wages stood at about 77% of their 2008 level in 2015; by 2024, about 68%. Not recovering slowly. Not recovering. Greek wages have now been below their pre-crisis level for fifteen consecutive years, longer than any EU country except Hungary. Output per person sits between the two stories: the shortfall against Greece's own 2008 peak roughly halved, but it did not close. What people can actually buy for that money, consumption adjusted for local prices, did rise substantially, from roughly 14,800 to 21,300 in the units used for these comparisons. That is real, and worth saying plainly, because a piece about hardship can leave the impression that nothing improved. But the EU median rose faster over the same years, so the distance between Greece and its neighbours widened even as Greece's own number climbed.

## FIGURE 6 Some Gaps Closed. Others Widened.

Which measures converged toward the EU and which diverged?

### ▼ Methods and limits

**Read with this.** A NARROWING GAP DOES NOT MEAN GREECE IMPROVED. A gap can close because Greece caught up, because the rest of the EU deteriorated, or because everyone moved in the same direction at different speeds. This chart measures RELATIVE CONVERGENCE, not national recovery, which is why both endpoints for Greece and for the EU median are in the tooltip and the table. "71% of the gap closed" and "conditions improved by 71%" are entirely different claims. The plotted quantity is dimensionless because the underlying gaps are measured in percentage points, index points and PPS per head and cannot share an axis.

| Measure                             | Share of 2015 gap closed | Greece 2015 | Greece 2024 | EU median 2015 | EU median 2024 | Gap 2015 | Gap 2024 |
|-------------------------------------|--------------------------|-------------|-------------|----------------|----------------|----------|----------|
| Long-term unemployment              | 0.71                     | 16.40       | 5.40        | 3.60           | 1.70           | 12.80    | 3.70     |
| Share below own GDP peak            | 0.55                     | 24.84       | 11.20       | 0.00           | 0.00           | 24.84    | 11.20    |
| Housing-cost overburden             | 0.40                     | 45.50       | 28.90       | 8.70           | 6.70           | 36.80    | 22.20    |
| AROPE                               | 0.26                     | 32.40       | 26.90       | 22.50          | 19.60          | 9.90     | 7.30     |
| Income poverty (AROP)               | 0.20                     | 21.40       | 19.60       | 16.30          | 15.50          | 5.10     | 4.10     |
| Real poverty threshold              | 0.02                     | 65.14       | 78.77       | 106.45         | 119.11         | -41.31   | -40.34   |
| Material deprivation                | 0.01                     | 17.60       | 14.00       | 7.80           | 4.30           | 9.80     | 9.70     |
| Reported hardship                   | -0.02                    | 77.70       | 66.70       | 28.90          | 17.10          | 48.80    | 49.60    |
| Real household income               | -0.06                    | 67.79       | 84.13       | 102.25         | 120.59         | -34.46   | -36.46   |
| Hardship gap against income poverty | -0.06                    | 56.30       | 47.10       | 13.10          | 1.20           | 43.20    | 45.90    |
| Hardship gap against AROPE          | -0.08                    | 45.30       | 39.80       | 6.40           | -2.30          | 38.90    | 42.10    |
| Real wages                          | -0.78                    | 76.91       | 68.18       | 101.43         | 111.85         | -24.52   | -43.67   |
| Material resources                  | -0.93                    | 14769.70    | 21309.90    | 16230.40       | 24129.10       | -1460.70 | -2819.20 |
| Wage-adjusted affordability         | -2.55                    | 141.89      | 173.09      | 127.22         | 120.97         | 14.67    | 52.12    |

[Figure 6](#) shows the shape: gaps that were mostly about jobs and housing narrowed considerably; the output gap narrowed too, but only by about half; gaps that were about wages, resources and what money can buy narrowed barely at all, or widened. But a chart built to fit fourteen measures onto one axis has to abstract away units, so [the table below](#) gives the same story in the numbers each measure actually reports in, and the plainest reading of each.

| MEASURE                     | GREECE, 2015→2024   | EU MEDIAN, 2015→2024 | WHAT ACTUALLY HAPPENED                            |
|-----------------------------|---------------------|----------------------|---------------------------------------------------|
| Long-term unemployment      | 16.4% → 5.4%        | 3.6% → 1.7%          | Large improvement; Greece remained above the      |
| Share below own GDP peak    | 24.8% → 11.2%       | 0.0% → 0.0%          | Substantial but incomplete recovery               |
| Housing-cost overburden     | 45.5% → 28.9%       | 8.7% → 6.7%          | Improved, but the remaining disadvantage was      |
| Real wages, 2008 = 100      | 76.9 → 68.2         | 101.4 → 111.8        | Greece fell further behind                        |
| Material resources          | 14,770 → 21,310 PPS | 16,230 → 24,129 PPS  | Resources rose in Greece, but more slowly than    |
| Wage-adjusted affordability | 141.9 → 173.1       | 127.2 → 121.0        | Affordability pressure deteriorated sharply relat |

The table gives the same comparison in each measure's own units: percentages for unemployment, output and housing costs; purchasing-power-adjusted euros for material resources; index points for wages and affordability. It also keeps the main caution visible: an improving Greek number is not always a closing gap. Material resources rose sharply in Greece but fell further behind, because the EU median rose faster. And a narrowing gap does not tell us why it narrowed. It only shows the shape of recovery: employment improved most clearly, while wages, resources and purchasing power remained much more damaged.

**FIGURE 7 Recovery Looks Weaker From the Household Budget**

What do the three supported constructs actually look like for Greece against the EU?

| Long-term unemployment |      |      |      |      |      |      |      |      |      |      |
|------------------------|------|------|------|------|------|------|------|------|------|------|
| Series                 | 2015 | 2016 | 2017 | 2018 | 2019 | 2020 | 2021 | 2022 | 2023 | 2024 |
| Greece                 | 16.4 | 15.4 | 14.3 | 12.5 | 11.3 | 10.5 | 9.2  | 7.7  | 6.2  | 5.4  |
| EU median              | 3.6  | 3.1  | 2.7  | 2.1  | 1.9  | 1.8  | 2.0  | 1.9  | 1.7  | 1.7  |

| Material resources |       |       |       |       |       |       |       |       |       |       |
|--------------------|-------|-------|-------|-------|-------|-------|-------|-------|-------|-------|
| Series             | 2015  | 2016  | 2017  | 2018  | 2019  | 2020  | 2021  | 2022  | 2023  | 2024  |
| Greece             | 14770 | 14786 | 15372 | 15833 | 16372 | 15475 | 16772 | 19402 | 20701 | 21310 |
| EU median          | 16230 | 16494 | 17038 | 18006 | 18707 | 17386 | 19479 | 21317 | 23055 | 24129 |

| Wage-adjusted affordability |       |       |       |       |       |       |       |       |       |       |
|-----------------------------|-------|-------|-------|-------|-------|-------|-------|-------|-------|-------|
| Series                      | 2015  | 2016  | 2017  | 2018  | 2019  | 2020  | 2021  | 2022  | 2023  | 2024  |
| Greece                      | 141.9 | 148.6 | 148.2 | 156.8 | 162.2 | 163.3 | 165.6 | 171.2 | 173.1 | 173.1 |
| EU median                   | 127.2 | 124.7 | 124.6 | 119.8 | 118.4 | 117.7 | 120.2 | 120.7 | 122.3 | 121.0 |

That same split appears when we stop looking at gaps and look at today's levels, in [Figure 7](#). Long-term unemployment, material resources and wage-adjusted affordability each place Greece on the wrong side of the European middle. They are also the three current conditions that carry information beyond the official poverty rate. But the point here is simpler: household recovery looks weaker than headline recovery.

A country can score badly on affordability two ways: by being expensive, or by paying poorly. Greece does both at once, and a household experiencing it does not much care which half is responsible.

*Precise result.* Long-term unemployment, material resources and wage-adjusted affordability each predict reported hardship beyond income poverty and year effects.

*Limits.* Cross-country association, not causal evidence; wage-adjusted affordability should not be read together with the work-effort-squeeze measure.

DESCRIPTIVE CORROBORATION

## INDEPENDENT DESCRIPTIVE CORROBORATION (GREECE IN FIGURES)

A newer Greece in Figures analysis reaches a similar descriptive picture from outside this project's models: Greece is not last in Europe on actual consumption, but it combines long working hours, low hourly reward and high everyday prices. That does not test this report's explanation, and it uses a newer data vintage, but it independently points to the same household-budget pressure.

### ▼ The full caveat

*What this lets us say.* The independent picture -- Greece not last on actual consumption, long hours for comparatively low hourly reward, high relative prices in food and information/communication -- is consistent with and external corroboration for this project's own material-resources and wage-adjusted-affordability findings. Its central descriptive numbers reproduce against the primary Eurostat and ELSTAT releases they draw on.

*What it does not.* Treating the article's own comparisons, or its constructed AIC-per-hour ratio, as inferential evidence: it applies no bootstrap, no FDR correction, no within/between decomposition and no model comparison, and it does not test whether these factors account for reported hardship. Merging its 2025/2026-vintage figures into this project's frozen 2015-2024 panel. Repeating its car-ownership sentence, which cites a vehicle-STOCK figure as evidence of new purchases, or its 'all Greeks travelled' generalisation, which the underlying ELSTAT survey does not support. Reading its AIC rank, hours rank or price-level figure as contradicting this project's own numbers without first noting the different vintage or aggregate behind each.

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Greece in Figures, "Γιατί οι Έλληνες νιώθουν τόσο φτωχοί" [Why Greeks feel so poor]. [source](#)

Put simply: the labour market improved, but the household budget did not recover with it.

***“The unemployment rate came back. The paycheck did not.”***

## A Decade of Damage Still Counts

The jobs came back. The household economy did not. But even that distinction still looks mostly at where things stand now. For households, duration matters: one year of unemployment is not the



same as ten. A wage cut that lasts one year is not the same as one that lasts fifteen. Housing pressure that spikes and disappears is not the same as pressure that accumulates.

This is also the point where the story is easiest to overstate.

Instead of asking only how bad a condition is today, this section asks how much of it a country has carried since the crisis began: how much excess unemployment it accumulated, how many consecutive years its wages stayed below 2008, how much its housing costs deteriorated since 2010.

**FIGURE 8 Greece Had Among Europe’s Largest Accumulated Burdens**

How much accumulated unemployment has each country absorbed, and where does Greece sit?

▼ **Methods and limits**

**Read with this.** cross-country association | no demonstrated within-Greece dynamic | no causal claim | current conditions not ruled out The three measures are in different units and may not be compared with each other: accumulated unemployment and housing deterioration are percentage-point-years, wage non-recovery is a count of consecutive years.

| Accumulated unemployment |                                                              |
|--------------------------|--------------------------------------------------------------|
| Country                  | Accumulated unemployment (percentage-point-years above 2009) |
| Greece                   | 137.5                                                        |
| Cyprus                   | 64.1                                                         |
| Croatia                  | 43.5                                                         |
| Spain                    | 33.1                                                         |
| Italy                    | 32.9                                                         |
| Bulgaria                 | 26.6                                                         |
| Portugal                 | 20.6                                                         |
| Slovenia                 | 20.6                                                         |
| Netherlands              | 13.1                                                         |
| Luxembourg               | 9.1                                                          |
| Ireland                  | 8.9                                                          |
| Slovakia                 | 8.9                                                          |
| Poland                   | 7.7                                                          |
| France                   | 5.9                                                          |
| Lithuania                | 5.6                                                          |
| Denmark                  | 5.6                                                          |
| Hungary                  | 3.2                                                          |
| Estonia                  | 3.1                                                          |
| Finland                  | 2.9                                                          |
| Austria                  | 2.5                                                          |
| Belgium                  | 2.4                                                          |
| Romania                  | 2.4                                                          |
| Latvia                   | 2.0                                                          |
| Czechia                  | 1.2                                                          |
| Sweden                   | 0.6                                                          |
| Malta                    | 0.0                                                          |
| Germany                  | 0.0                                                          |

| Years wages below 2008 |                                                                 |
|------------------------|-----------------------------------------------------------------|
| Country                | Years wages below 2008 (consecutive years below the 2008 level) |
| Hungary                | 16.0                                                            |
| Greece                 | 15.0                                                            |
| Italy                  | 14.0                                                            |
| Finland                | 3.0                                                             |
| Sweden                 | 2.0                                                             |
| Slovenia               | 0.0                                                             |
| Romania                | 0.0                                                             |
| Portugal               | 0.0                                                             |
| Poland                 | 0.0                                                             |
| Netherlands            | 0.0                                                             |
| Malta                  | 0.0                                                             |
| Latvia                 | 0.0                                                             |
| Luxembourg             | 0.0                                                             |
| Lithuania              | 0.0                                                             |
| Austria                | 0.0                                                             |
| Ireland                | 0.0                                                             |
| Belgium                | 0.0                                                             |
| Croatia                | 0.0                                                             |
| France                 | 0.0                                                             |
| Spain                  | 0.0                                                             |
| Estonia                | 0.0                                                             |
| Denmark                | 0.0                                                             |
| Germany                | 0.0                                                             |
| Czechia                | 0.0                                                             |
| Cyprus                 | 0.0                                                             |
| Bulgaria               | 0.0                                                             |
| Slovakia               | 0.0                                                             |
|                        |                                                                 |

| Country     | Housing deterioration since 2010                                     |       |
|-------------|----------------------------------------------------------------------|-------|
|             | Housing deterioration since 2010 (percentage-point-years above 2010) |       |
| Greece      |                                                                      | 233.2 |
| Bulgaria    |                                                                      | 116.3 |
| Luxembourg  |                                                                      | 37.8  |
| Portugal    |                                                                      | 35.8  |
| Sweden      |                                                                      | 17.1  |
| Estonia     |                                                                      | 11.8  |
| Slovenia    |                                                                      | 9.9   |
| Hungary     |                                                                      | 9.6   |
| Germany     |                                                                      | 9.4   |
| Italy       |                                                                      | 8.2   |
| Belgium     |                                                                      | 7.9   |
| Finland     |                                                                      | 7.0   |
| France      |                                                                      | 6.6   |
| Slovakia    |                                                                      | 6.1   |
| Latvia      |                                                                      | 5.7   |
| Netherlands |                                                                      | 4.9   |
| Ireland     |                                                                      | 4.6   |
| Spain       |                                                                      | 4.5   |
| Malta       |                                                                      | 4.5   |
| Austria     |                                                                      | 4.3   |
| Poland      |                                                                      | 4.2   |
| Romania     |                                                                      | 4.2   |
| Czechia     |                                                                      | 3.8   |
| Cyprus      |                                                                      | 2.1   |
| Lithuania   |                                                                      | 0.5   |
| Croatia     |                                                                      | 0.0   |
| Denmark     |                                                                      | 0.0   |

Figure 8 is the balance sheet the crisis left behind. Greece carries the heaviest accumulated unemployment burden in the EU, and the worst housing-cost deterioration since 2010; both rank first of 27. On wage duration it's not the heaviest: Hungary has gone slightly longer, sixteen consecutive years below its 2008 level to Greece's fifteen. The chart shows every country, not just Greece, so that one exception is visible rather than buried.

Carrying a heavy history is one thing. Whether that history still matters once you already know where a country stands today is a harder question, and a more important one: if you know this year's unemployment rate, does the decade behind it tell you anything more?

For three measures, it does. Countries carrying more accumulated unemployment, more years of wages below 2008, and more housing-cost deterioration report more hardship, even after today's poverty rate and current conditions are already accounted for.

*Precise result.* Accumulated excess unemployment, wage duration below 2008, and housing-cost deterioration each still predict reported hardship once today's poverty rate and current conditions are controlled for.

*Limits.* Cross-country association, not causal evidence, and not a demonstrated change within Greece over time.

The wage-duration result holds for one specific way of counting consecutive years below 2008; other reasonable ways of counting the same idea point the same direction without quite clearing the bar. The housing result is the shakiest of the three, and it's presented that way rather than rounded up to a clean yes.

The pattern is not universal, though, which is itself informative. For wage-adjusted affordability, it runs the other way: today's number carries the signal, and the accumulated version of it doesn't resolve.

*Precise result.* For wage-adjusted affordability the pattern reverses: the current measure survives conditioning while the accumulated one remains inconclusive.

*Limits.* Inconclusive, not unsupported.

Compounded inflation was also tested as an accumulated measure, but the result remained inconclusive under the available statistical power.

If history mattered as a general rule, that reversal shouldn't happen. It suggests these results are specific to work, wages and housing rather than some broad law that the past always counts for everything.

One more piece of the history simply isn't there to look at. What households could actually afford, tracked back to before the crisis, can't be built at all: the source data only starts in 2015, already years into the recovery. Moving the starting line earlier would have solved the data problem and created a different one: a measure that could no longer see the crisis it exists to describe. So it stays out, and is named here rather than quietly absent.

Accumulated material resources (C1) could not be tested at all: the source series begins in 2015 and no 2008 baseline exists. The baseline was not moved to make it testable.

*The limits of this.* infeasible, not null.

The accumulated wage-shortfall coefficient cleared every conditional gate but its prior stage did not support it, so the pre-registered ceiling caps it. It is reported and is not a finding.

*The limits of this.* capped by the E7 ceiling: E7 may only qualify or withdraw.

A related wage measure creates the opposite problem. On the face of the numbers, accumulated wage shortfall looks convincing. But it cannot be counted here, because the earlier stage did not establish the current wage-shortfall measure it depends on. A result can only stand as high as its foundation. It's named here, not because it counts, but because pretending it doesn't exist would be its own kind of dishonesty.

That is enough to say the crisis left a measurable mark. It is not yet enough to say how that mark moved inside Greece year by year.

## Where the Evidence Stops

Everything in [the previous section](#) is a statement about how countries differ from each other. It is tempting, and wrong, to turn it into a statement about how Greece changed over time.

Look for that change happening inside Greece itself, over the years, and the evidence isn't there to find it — not because it has been ruled out, but because this kind of comparison cannot see it either way.

### ▼ The precise result

No accumulated measure permits dynamic wording. Across P5, E4 and E7 no within-country estimate is significant in the adverse direction and no first-difference test supports one.

*The limits of this.* three RELATED checks on one panel, not independent replications; the dynamic tests were not multiplicity-corrected.

## FIGURE 9 The Evidence Is Mostly Between Countries

Is the accumulated effect between countries, or within one over time?

| Accumulated measure                | Between (SD) | Within (SD) | Between vs within |          | First difference (raw) | First difference p |
|------------------------------------|--------------|-------------|-------------------|----------|------------------------|--------------------|
|                                    |              |             | Between p         | Within p |                        |                    |
| Accumulated unemployment           | 0.5924       | 0.0296      | 0.0000            | 0.6867   | 0.0461                 | 0.7324             |
| Cumulative wage shortfall          | 0.6584       | -0.0544     | 0.0130            | 0.3147   | -0.0596                | 0.0284             |
| Years wages below 2008             | 0.7271       | 0.0700      | 0.0025            | 0.0823   | 0.0721                 | 0.4952             |
| Cumulative GDP shortfall           | 0.3890       | 0.0674      | 0.0289            | 0.0600   | 0.0273                 | 0.1442             |
| Cumulative threshold shortfall     | 0.8271       | 0.0123      | 0.0000            | 0.5599   | -0.0148                | 0.3917             |
| Accumulated affordability pressure | -0.3953      | -0.0764     | 0.3639            | 0.2825   | -0.0298                | 0.0000             |
| Compounded inflation since 2008    | -0.1718      | -0.1228     | 0.4947            | 0.3738   | -0.0314                | 0.5766             |
| Housing deterioration since 2010   | 0.9282       | -0.0658     | 0.0000            | 0.2343   | -0.0090                | 0.8679             |

“Countries that accumulated more hardship report more difficulty” is a claim about a group photograph. “As Greece accumulated more hardship, Greek households reported more difficulty” is a claim about a film. This piece has the photograph. It does not have the film — not because the film doesn't exist, but because seeing it would mean giving up the comparison between countries, and what's left on its own isn't sharp enough to say either way.

Not every present-day measure earned a place in the story so far, either. Nine were tried; three worked. The other six mostly went quiet rather than failed outright — with twenty-seven countries and a decade of data, most of them could only have caught an effect bigger than any effect worth caring about. Silence isn't a verdict.

A couple of them can be set aside for real, at least at the size this design could catch — both measures of price inflation among them. The rest simply weren't put under enough pressure to say either way.

### ▼ The precise results

Six of nine current-level constructs are inconclusive under available power, not unsupported; two cleared FDR and collapsed under the bootstrap ( $p=0.40$  and  $0.55$ ).

*The limits of this.* inconclusive is not evidence of absence.

Annual food and housing inflation are unsupported with adequate power at 0.70 SD; annual headline inflation is unsupported at its detectable conditional magnitude; compounded inflation since 2008 remains inconclusive.

*The limits of this.* the exclusions are narrow and magnitude-specific; compounded inflation is INCONCLUSIVE, not ruled out.

The biggest complication is a genuine reversal, and it concerns the deprivation items [from earlier](#) — can't pay bills, can't heat the home — which absorbed most of Greece's unexplained excess. Those items come from the same survey as the thing they're explaining, and whether to let a measure like that into the picture is a real, defensible choice either way. So both versions were built.

Choose differently, and Greece's whole position in Europe flips.

#### ▼ The precise result

Greece's residual is +6.93 (rank 3/27) in the main model and -9.39 (rank 25/27) when the same-instrument deprivation predictor is removed, on identical rows. Neither specification is definitive.

*The limits of this.* NEITHER specification is definitive; the two may not be merged or averaged; selection between them may not be made on residual size; conclusions about absorption depend materially on whether same-instrument deprivation is admitted.

## FIGURE 10 What the Recovery Story Still Misses

Does the answer depend on which model is chosen?

### ▼ Methods and limits

**Read with this.** NEITHER specification is definitive. They may not be merged or averaged, and selection may not be made on residual size.

| Country     | Reference specification | Deprivation-free companion | Change |
|-------------|-------------------------|----------------------------|--------|
| Luxembourg  | 8.80                    | 15.48                      | 6.68   |
| Cyprus      | 7.05                    | 10.75                      | 3.70   |
| Greece      | 6.93                    | -9.39                      | -16.32 |
| Latvia      | 6.32                    | 4.65                       | -1.66  |
| Hungary     | 4.86                    | 7.42                       | 2.56   |
| Bulgaria    | 4.06                    | 14.65                      | 10.60  |
| Czechia     | 3.53                    | -3.63                      | -7.16  |
| Slovakia    | 3.28                    | -0.68                      | -3.96  |
| Belgium     | 3.13                    | 5.26                       | 2.13   |
| Ireland     | 3.05                    | 6.14                       | 3.09   |
| Croatia     | 2.62                    | -0.38                      | -2.99  |
| France      | 1.85                    | 3.88                       | 2.02   |
| Austria     | 1.36                    | 0.95                       | -0.41  |
| Portugal    | 1.30                    | 0.62                       | -0.67  |
| Malta       | 1.28                    | 0.36                       | -0.91  |
| Poland      | 0.56                    | -4.32                      | -4.88  |
| Denmark     | 0.16                    | -3.65                      | -3.81  |
| Sweden      | -1.00                   | -4.55                      | -3.55  |
| Slovenia    | -2.66                   | -6.33                      | -3.67  |
| Netherlands | -3.47                   | -4.87                      | -1.39  |
| Lithuania   | -4.17                   | -1.81                      | 2.36   |
| Germany     | -4.31                   | -6.00                      | -1.69  |
| Estonia     | -4.49                   | -10.12                     | -5.63  |
| Finland     | -5.07                   | -6.80                      | -1.72  |
| Italy       | -6.35                   | -5.18                      | 1.17   |
| Romania     | -10.32                  | 9.76                       | 20.08  |
| Spain       | -10.63                  | -10.06                     | 0.57   |

***“That is not a wobble. It is a reversal, and there is no honest way to pick between the two.”***

Greece moves from the third-worst country in Europe on unexplained hardship to the twenty-fifth — from a stark positive outlier to a stark negative one — on exactly the same rows of data, with one measure added or removed. The two results can't be averaged, and can't be chosen between by which looks more plausible; doing that is exactly what would make a check like this meaningless. Which is why nothing later in this piece leans on it.



Two further ideas were meant to carry real weight here, and neither survived contact with the data — worth naming rather than quietly dropping. A synthetic Greece, built to track the real one before 2008 and read the divergence after as the crisis effect, collapsed into a blend of essentially two countries and missed four of the six conditions it had been required to meet before anyone looked at the result. Its chart is not shown here, because a dramatic picture built on a counterfactual that thin would persuade readers of something the evidence can't actually support. And the sixteen-measure spread [from earlier](#) made Greece's position worse, not better, once it was asked to predict rather than just describe, and its direction flipped once other measures were held steady — left deliberately unexplained here, since inventing a story for a strange result in a design that already failed is how failed ideas come back from the dead.

Both are recorded for what they are: attempts that didn't work, kept visible rather than erased.

#### ▼ The precise results

The synthetic-control comparative design failed four of six pre-registered gates and is not a usable comparison. Its divergence figure is kept out of every document.

*The limits of this.* donor weights collapse to Hungary 0.55 and Bulgaria 0.45; the divergence figure is NON-REPORTABLE.

Multi-domain breadth failed the incremental criterion: adding it to the main model worsened Greece's residual from 6.93 to 10.39 and reversed its sign conditionally. The reversal is left uninterpreted.

*The limits of this.* a result about the specification, not about power; the sign reversal is deliberately left uninterpreted.

## What Greece's Recovery Leaves Out

There is a simpler explanation for everything above, and it deserves to be taken seriously rather than waved away: maybe Greeks are just gloomier answerers. The evidence so far can't settle that on its own — it all comes from inside one survey. A better test looks across different subjects entirely. A general tendency to answer darkly should drag everything down about equally; a pattern that's extreme on money and milder elsewhere points at circumstances instead.

| MEASURE                | GREECE | EU MEDIAN | GREECE'S POSITION      |
|------------------------|--------|-----------|------------------------|
| Reported hardship      | 66.7%  | 17.1%     | 1st of 27, worst first |
| Financial expectations | -43.2  | -1.8      | 1st of 27, worst first |
| Life satisfaction      | 6.7    | 7.3       | 2nd of 28, worst first |

Greece is worst in Europe on the two money questions and close to worst on general life satisfaction — a difference of degree, not of kind, which points toward circumstance rather than temperament, though it doesn't prove it.

#### ▼ The precise result

Greece is consistently among Europe's worst countries on life satisfaction and consistently worst on financial hardship and expectations. The greater extremity of the financial indicators suggests domain specificity, but does not rule out a broader negative reporting tendency.

*The limits of this.* Greece is second-WORST on life satisfaction by 2024, not middling; a broader negative reporting tendency is NOT ruled out; Greek life satisfaction ROSE over the observed period, 6.2 to 6.9; only its rank worsened, because other countries improved faster; the series begins in 2013, at the crisis trough, with no pre-crisis baseline.

One thing about that life-satisfaction number is worth holding onto, because it's easy to get backwards: it actually *rose* over the period. Greece's rank against it fell anyway, because its faster-improving neighbours pulled further ahead. A falling rank is not the same thing as a falling number.

## DESCRIPTIVE CORROBORATION

### FINANCIAL EXPECTATIONS AND LIFE SATISFACTION

Greece's money questions sit at the far edge of the European range while its general-wellbeing question sits closer to it. That difference of degree is what the comparison shows, and it is description rather than a test.

*What this lets us say.* The financial indicators are more extreme than the general-wellbeing one, which suggests domain specificity. A broader negative reporting tendency is NOT ruled out.

*What it does not.* Describing Greece as ordinary or middling on life satisfaction: it is second-worst in the EU by 2024. And reading a worsening RANK as falling satisfaction, when the Greek level rose over the period.

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reporting\_style\_cross\_indicator.csv, this project

One further check reaches back before the Eurostat series begins. A separate European survey shows Greece already sitting about 0.8 points below its comparison group before the crisis, falling further during it, and recovering its level — but not its relative position — by the 2020s. A long-standing pattern of lower reported wellbeing remains plausible on this evidence. It also cannot be established by it.

## DESCRIPTIVE CORROBORATION

### PRE-CRISIS WELLBEING BASELINE (ESS)

Across six rounds of a separate European survey, holding the same twelve countries fixed each time, Greece's level fell and then recovered while its position relative to the others did not. This is descriptive corroboration and not a test.

*What this lets us say.* On a balanced set of 12 countries observed in every Greek ESS round, Greece already sat about 0.8 points below the median before the crisis, fell to 5.64 by 2010/11, and recovered its LEVEL to roughly the pre-crisis value by 2023/24. Its comparative position did not recover: the gap to the balanced median is wider than before the crisis, and Greece has been worst of the 12 since 2010/11. A longstanding low-wellbeing pattern therefore remains plausible and generic pessimism or reporting culture CANNOT be dismissed.

*What it does not.* Splicing ESS to the Eurostat EU-SILC series, or reading the two as one trajectory. Attaching any confidence interval, standard error or significance test to these means, which are approximate reconstructions from displayed weighted percentages. Comparing ALL-COUNTRY ranks across rounds, since the country set varies from 22 to 30. Treating the decade after 2010/11 as observed.

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European Social Survey Data Portal, public Analysis tab for stflife (life satisfaction, 0-10), rounds 1, 2, 4, 5, 10 and 11. [source](#)

Several other factors that come up in every account of the Greek crisis were not established here — institutional trust, the design of the adjustment programmes, migration, and the incidence of indirect taxes among them. Leaving them out silently would be misleading; treating them as findings would be worse.

#### ▼ What this piece did not test

### CONTEXTUAL EVIDENCE

## INSTITUTIONAL TRUST

Trust in institutions is low in Greece, and there is a plausible route by which it could matter: a household that doesn't expect help to arrive may experience the same circumstances as more frightening. This piece has no check on that either way.

*What this lets us say.* May affect how households interpret insecurity; available evidence does not identify an independent effect.

*What it does not.* Presenting trust as an explanation of the residual, or implying it was tested and found to matter.

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OECD (2024), OECD Survey on Drivers of Trust in Public Institutions - 2024 Results, Country Notes: Greece. OECD Publishing, Paris. [source](#)

## LITERATURE-GROUNDED CONTEXT

### CRISIS AND ADJUSTMENT POLICIES

The bailout programmes from 2010 reshaped incomes, job protections, pensions and public services at once and in a hurry. They are the backdrop to every accumulated measure described earlier.

*What this lets us say.* Help explain the historical setting; this project does not estimate their causal contribution.

*What it does not.* Attributing any share of the accumulated exposure to a specific programme or measure.

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Andriopoulou, E., Kanavitsa, E. & Tsakloglou, P. (2020), Decomposing Poverty in Hard Times: Greece 2007-2016. LSE GreeSE Paper No. 149. [source](#)

## CONTEXTUAL CONSEQUENCE

### MIGRATION

Large numbers of working-age Greeks left during the crisis, and some have returned. This cuts both ways: plausibly a consequence of a broken labour market, and plausibly part of why the people who stayed look the way they do.

*What this lets us say.* A plausible consequence of prolonged labour-market damage and a possible contributor to it. It is UNSUPPORTED as an independent aggregate predictor here.

*What it does not.* Reading it as a driver, or as ruled out. E3 tested it on this panel and found nothing ( $p=0.4006$ ), which speaks to aggregate prediction and not to either causal direction.

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Lazaretou, S. (2016), The Greek brain drain: the new pattern of Greek emigration during the recent crisis. Economic Bulletin, Bank of Greece, issue 43, pp. 31-53. [source](#)

## **FUTURE HYPOTHESIS**

### **TAX BURDEN AND UNEQUAL TREATMENT**

Published research establishes that Greece's system of indirect taxes became markedly harder on lower-income households across the crisis. If a household's position worsened through tax in a way income-based poverty measures capture badly, that would be one route to the kind of gap this report describes.

*What this lets us say.* Published incidence evidence establishes that Greece's indirect tax system became markedly more regressive over the crisis. Whether that channel contributes to the hardship gap is a plausible hypothesis and is NOT tested here.

*What it does not.* Any quantitative statement linking tax burden to the hardship gap. The literature is about incidence, not about this outcome, and this project tested nothing on tax.

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Kaplanoglou, G. (2015), Who Pays Indirect Taxes in Greece? From EU Entry to the Fiscal Crisis. Public Finance Review 43(4), 529-556. [source](#)

Greek households report struggling at a rate far above what the official poverty figure predicts, and have done so consistently for a decade. Part of that distance is now easier to understand: official measures are narrower than the experience they are used to summarise; what households report corresponds to real material trouble, even if that agreement comes from inside a single survey; and both the present and the accumulated past carry information the official rate does not.

What the evidence stops short of is just as much part of the answer. Nothing here says what causes what. Nothing here shows Greece changing over time. Most of what didn't work is unresolved, not ruled out. One central result flips on a judgement call the data cannot settle. And a plainer explanation — that Greeks simply answer more darkly — cannot be fully excluded. Most of the 52.6-point gap is still unexplained.

## **AUTHOR INTERPRETATION**

## **POLICY IMPLICATIONS**

What runs through all of this is that no single official number captures what Greek households are reporting. Each one misses something different, and the ones that catch what the others miss are not the headline.

*What this lets us say.* POLICY RECOMMENDATION, NOT AN EMPIRICAL CONCLUSION: poverty dashboards should combine AROP, its real threshold, anchored poverty, AROPE/deprivation and accumulated labour and housing indicators.

*What it does not.* Presenting this as a finding. It follows from what the analysis showed AROP alone misses; it is not itself a result.

Greece's recovery was real. So was the hardship that remained. The official poverty rate is not wrong; it answers a narrower question than the one Greek households have been living. A country can recover in its averages while its households continue to carry the history.